

Draycott Bearings

Draycott Bearings makes precision ball and roller bearings for machine-tool spindles. It has operated from the same two plants for thirty years, sells into a market growing with industrial production, and has held its share of that market for a decade.

Draycott is not for sale and has no plans to wind down. The question in front of the family that owns it is what the business is worth as a going concern, with the plants staying in service and being replaced and extended as they always have been.

Management's planning assumption is 5 percent sales growth a year, indefinitely, at the current margin. Nothing in the operating ratios has moved in three years and nothing is expected to.

Draycott's weighted average cost of capital is 10 percent. Its tax rate is 21 percent. Net PP&E at the end of FY2022 was \$36.00 million.

EXHIBIT 1 · INCOME STATEMENTS

\$ MILLIONS	FY2023	FY2024	FY2025
Sales	80.00	84.00	88.00
EBITDA	14.40	15.12	15.84
Depreciation	3.60	3.78	3.96
EBIT	10.80	11.34	11.88
Interest	0.90	0.90	0.90
Pretax income	9.90	10.44	10.98
Taxes	2.08	2.19	2.31
Net income	7.82	8.25	8.67

EXHIBIT 2 · BALANCE SHEETS

\$ MILLIONS	FY2023	FY2024	FY2025
Cash	5.00	5.60	6.20
Accounts receivable	9.60	10.00	10.50
Inventory	6.00	6.30	6.60
Net PP&E	37.80	39.60	41.58
Total assets	58.40	61.50	64.88
Accounts payable	7.20	7.50	7.86
Debt	15.00	15.00	15.00
Equity	36.20	39.00	42.02
Total liabilities and equity	58.40	61.50	64.88

EXHIBIT 3 · THE FORECAST

Sales, FY2026	\$92.40m
Sales growth thereafter	5% a year, indefinitely
EBITDA margin	Hold at the FY2025 level
Net PP&E, depreciation, working capital	At the rates measured from Exhibits 1 and 2
Tax rate	21%
Weighted average cost of capital	10%

ASSIGNMENT

- 1 Measure the three ratios and the margin from the exhibits.
- 2 Build free cash flow for FY2026, FY2027 and FY2028. Express each year's free cash flow as a share of that year's sales, and say what you notice.
- 3 Value the business. State the formula you are using and why a three-year forecast is enough to apply it.
- 4 Draycott already owns \$41.58 million of net PP&E and \$9.24 million of working capital. Is that an outlay to subtract from your answer? Say why or why not.